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Bloomberg Automated Summary

Microsoft Corp Earnings Call

View on the Bloomberg Terminal

10/28/26

Guidance

- For Q2 FY2027, management expects total revenue between $96 billion and $97.1 billion, representing 18% to 19% growth, with no meaningful FX impact on total revenue, COGS, or operating expense growth.
- Q2 FY2027 COGS are projected at $32.7 billion to $32.9 billion (26% to 27% growth), and operating expenses at $18.5 billion to $18.6 billion (9% growth), including costs for a voluntary employee exit offer.
- Segment-wise, Agents and Infra revenue is expected to be $80.1 billion to $80.7 billion (24% to 25% growth), with Azure revenue growth of 49% to 50% in constant currency, and M365 Commercial Cloud growth of approximately 19% in constant currency.
- Q2 FY2027 capital expenditures are projected to exceed $50 billion, leading to an approximate $170 billion spend for the calendar year due to delayed third-party capacity deliveries.
- The company expects to remain free cash flow positive for FY2027, with options to access additional funding if attractive.

Margin Story

- In Q1 FY2027, gross margin was 68%, with gross margin dollars increasing 17%.
- Total company operating margins increased slightly year-over-year to 50% in Q1, driven by strong revenue growth, platform efficiency gains, and focused investments, partially offset by a sales mix-shift to Azure.
- Microsoft Cloud gross margin percentage declined year-over-year to 66% in Q1, primarily due to sales mix-shift to Azure, though product-level margin improvements in Azure provided a partial offset.
- Microsoft Cloud operating margins decreased slightly year-over-year to 53% in Q1, as strong revenue growth, platform efficiency gains, and focused investments were more than offset by the sales mix-shift to Azure.
- For Q2 FY2027, Microsoft Cloud gross margin percentage is expected to be roughly 65%, a year-over-year decline, as product-level margin improvements are anticipated to be outweighed by the sales mix-shift to Azure.

AI Strategy

- Microsoft Cloud revenue grew 30% to $63 billion, driven by AI focus.
- Copilot is the new OS for work; daily users are up 5x year-over-year.
- Foundry revenue more than tripled YoY, with 120,000 customers building agentic solutions.
- Microsoft's MAI models aim for frontier capabilities at lower training costs.
- Azure AI platform growth is broadening, with enterprise workloads increasing.

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Cloud Strategy

- Microsoft Cloud revenue surpassed $63 billion, accelerating to 30% year-over-year, with sequential dollars added nearly doubling.
- Azure revenue increased 48%, driven by Foundry and improved CPU monetization, despite third-party capacity delays.
- Foundry revenue more than tripled year-over-year, benefiting from efficiency gains across the GPU fleet and higher revenue per token.
- Microsoft Cloud gross margin percentage declined year-over-year to 66% in Q1, primarily due to sales mix-shift to Azure, partially offset by product-level margin improvements.
- For Q2 FY27, Agents and Infra revenue is projected between $80.1 billion and $80.7 billion (24% to 25% growth), with Azure revenue growth expected at 49% to 50% in constant-currency.

Subscriptions

- The business model for Copilot is expanding from per-seat subscriptions to include consumption, which is expanding the total addressable market (TAM) and average revenue per user (ARPU).
- The subscription model for Copilot aims to bring increasingly capable everyday intelligence to every user, with IT typically funding this for broad organizational deployment.
- M365 commercial cloud revenue growth was driven by both ARPU and seats, with ARPU growth led by premium seat-based offerings including M365 Copilot, E5, and E7, which have already reached millions of paid seats.
- Paid M365 commercial seats grew 5%, with growth primarily from installed-base expansion across all customer segments, particularly SMB and frontline worker offerings, though impacted by weaker sales execution in E3 and standalone SKUs.
- Management is evolving sales motions to balance traditional SKU per-seat rhythms with newer premium E7, M365 Copilot, and usage-based productivity offerings, aiming for customers to optimally utilize both subscription and consumption models.

Competition

- Microsoft is scaling its infrastructure with innovations from NVIDIA and AMD, alongside its own Maia systems.
- New Windows PCs are being developed in collaboration with AMD, Intel, and Qualcomm.
- Bing and Edge gained market share in search and advertising.
- OpenAI, Anthropic Claude Code, and Meta Muse are adopting Microsoft Execution containers.
- Microsoft aims for Anthropic and OpenAI to compete for customer workloads, optimizing for quality, speed, and cost.

Market Share

- Bing and Edge gained market share in search and advertising.
- Operating margins increased due to strong revenue growth, platform efficiency, and focused investments, partially offset by a sales mix-shift to Azure.

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- Devices and Consumer operating margins increased due to lower amortization from the Activision acquisition, partially offset by a lower mix of Windows OEM revenue.

Capital Allocation

- In Q1 FY2027, the company returned $10.2 billion to shareholders through dividends and share repurchases.
- Capital expenditures in Q1 FY2027 were $45.2 billion, with roughly three-quarters allocated to short-lived assets like CPUs and GPUs for AI infrastructure, and cash paid for PP&E was $39.4 billion.
- For Q2 FY2027, CapEx spend is expected to exceed $50 billion, contributing to a calendar year spend of approximately $170 billion due to delayed third-party capacity deliveries.
- CapEx spend is projected to accelerate in the second half of the fiscal year, driven by CPUs (including higher memory and storage costs), GPUs, and shifted third-party capacity deliveries.
- Management expressed confidence in the returns on CapEx investments and noted flexibility in financing options, including leasing and debt markets, while remaining free cash flow positive in FY2027.

M&A

- Operating margins in the Devices and Consumer segment increased year-over-year, driven by lower amortization of intangible assets from the Activision acquisition.

Labor

- Microsoft's cost guidance for Q2 FY2027 includes an estimate for a recently announced employee voluntary exit offer.
- Operating expenses increased 6% in Q1 FY2027, driven by continued investments in R&D compute capacity and talent.
- The company's Agentic hiring solutions are used by 25,000 customers, with recruiters finding qualified applicants 33% faster while reviewing 83% fewer profiles.

Macro Environment

- Windows OEM revenue decreased due to factors including weaker PC market demand and inventory drawdowns.
- Customer demand for Azure continues to exceed available supply, despite efficiency gains and capacity additions.
- Accelerating demand for infrastructure led to the addition of 24 new data centers across five continents this quarter.

Supply Chain

- Third-party capacity deliveries expected in Q1 were delayed, impacting capital expenditures and shifting some Q2 supply to H2, despite Azure revenue exceeding expectations.

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- Calendar year CapEx spend is now projected at approximately $170 billion due to these capacity delays, with acceleration expected in H2 for CPUs, GPUs, and third-party deliveries.
- Windows OEM revenue declined 22% due to elevated inventory levels, inventory drawdowns by partners, and weaker PC market demand, with these trends expected to continue.
- Customer demand for Azure continues to exceed available supply, prompting efforts to improve efficiency across CPU and GPU fleets and monetize underutilized capacity.
- Agentic systems built on Foundry are being used by enterprises like Rolls-Royce to manage complex supply chains, including planning, execution, and inventory management.

Pricing

- Microsoft's business model is expanding from per-seat subscriptions to consumption-based billing, which is increasing their Total Addressable Market (TAM) and Average Revenue Per User (ARPU).
- Azure revenue exceeded expectations, driven by improved CPU monetization and higher token pricing in Q1 FY2027, though token pricing can create quarterly variability.
- Technological advancements like Copilot Fusion offer significant cost reductions, delivering frontier performance up to 77% cheaper for coding agents.
- Management aims to drive more value into M365 subscriptions with continuous model improvements while also offering consumption meters for specific needs, encouraging customers to optimize between both options to avoid "token maxing."
- The M365 consumer cloud revenue growth slowed sequentially as the company began to lap the benefit from a prior year price increase.

Product Development

- Copilot received its biggest update, unifying chat, co-work, autopilot, and code into a single experience across commercial and consumer.
- Copilot Fusion was announced for broad availability, bringing multi-model orchestration to software development, delivering up to 40% faster and 77% lower cost.
- 30 new Copilot skills were introduced across Dynamics 365, enabling CRM and ERP capabilities directly in the flow of work.
- Pre-training for MAI-Base-2 was recently completed, outperforming other open-weight models with 4 to 12 times greater training compute efficiency.
- New PCs powered by NVIDIA's RTX Spark and DGX station for Windows were announced, alongside new generations of PCs from AMD, Intel, and Qualcomm.

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